AGREEMENT FOR PURCHASE AND SALE OF REAL PROPERTY

THIS AGREEMENT, made this 14th day of December 2016, by and between **El Dorado of TUC, LLC**, (hereinafter "SELLER") and **FDJ HESPERIA, LLC AND OR ASSIGNEES,** (hereinafter "BUYER"):

WHEREAS, SELLER is the owner of a multi-family property consisting of 96 Apartments, commonly known as El Dorado Apartments located on the southwest corner of Glenn Street and Tucson Boulevard at 2440 E. Glenn Street, Tucson, Arizona. Together with the additional Personal Property, if any, provided for below (hereinafter called "PROPERTY").

NOW, THEREFORE, and in consideration of the mutual covenants herein contained it is agreed as follows:

1) AGREEMENT

BUYER hereby offers to purchase the PROPERTY and SELLER, by ACCEPTANCE, agrees to sell the PROPERTY to BUYER, upon the terms and conditions set forth in this Agreement and any addenda attached hereto.

2) PURCHASE PRICE

The PURCHASE PRICE for the PROPERTY shall be FIVE MILLION FOUR HUNDRED SEVENTY FIVE THOUSAND DOLLARS ($5,475,000.00), payable as follows:

By earnest money deposit.....	$600,000.00
By assumption of existing first mortgage.....	$2,500,000.00
By cash or certified check as additional down payment at CLOSING.....	$2,375,000.00
TOTAL PURCHASE PRICE	$5,475,000.00

_____BI _____SI

3) **EARNEST MONEY**

BUYER'S EARNEST MONEY shall be deposited with ESCROW AGENT and shall be applied toward the down payment and PURCHASE PRICE at CLOSING. Within 5 days after opening of escrow, BUYER and SELLER agree that said EARNEST MONEY DEPOSIT shall be released to SELLER. BUYER'S EARNEST MONEY shall be fully non-fundable.

4) **ESCROW**

This transaction shall be placed for CLOSING and Escrow with Title Security Agency, LLC (hereinafter/heretofore ESCROW AGENT). CLOSING and Escrow fees shall be divided equally between BUYER and SELLER. Each party shall cooperate with the ESCROW AGENT in any way that may be reasonably necessary to consummate this transaction. CLOSING shall be on or before January 31, 2017. BUYER may obtain one 30 day extension for an additional $200,000 earnest money deposit which will be applied to the Purchase Price at closing.

5) **CONTINGENCIES**

This Agreement shall be ***Non-Contingent***, however Seller shall provide Buyer with the following:

(a) Title. SELLER shall, within 15 days after the Opening of Escrow furnish BUYER with a Preliminary Title Report of the PROPERTY, together with legible copies of all recorded documents, promissory notes, deed restrictions, assessments, easements and any other liabilities affecting or constituting an encumbrance or lien on the PROPERTY, Survey, Phase I Environmental Study, and a Structural Report

(b) Inspection. SELLER shall provide BUYER with the following:

A. Books, operating records and statements relating to the Premises;

B. Real property tax bills;

C. All pertinent documents relating to encumbrances on the Premises;

D. Rent-roll which will provide the name of the tenant, the date the occupancy began, the rental amount, the amount of the security deposit, description of the tenancy whether by lease or month to month;

E. All contracts pertaining to the Premises.

_____BI _____SI

F. Termite report, which shall be issued by a licensed exterminator, at SELLER'S expense. BUYER shall have reasonable access to the Premises to complete the necessary inspections during regular business hours upon reasonable notice to the SELLER.

G. SELLER shall cooperate fully in said inspection by providing necessary documentation to BUYER.

6) TITLE

(a) Conveyance of the PROPERTY shall be by General Warranty Deed, subject only to those exceptions contained in the aforesaid Preliminary Title Report which are acceptable to BUYER. Conveyance of the Personal Property, not including fixtures, will be by Bill of Sale, subject only to any restrictions which may presently exist by virtue of any underlying liens.

(b) SELLER shall furnish BUYER at CLOSING with a title insurance policy in the full amount of the PURCHASE PRICE, subject only to the aforesaid exceptions. SELLER is responsible for the cost of a Standard Title insurance policy and the BUYER is responsible for the additional cost of the ALTA policy.

(c) SELLER warrants, (1) that there are no encumbrances, liens or assessments against the PROPERTY other than those specifically set forth or provided for herein, excepting current real estate taxes if not yet due and payable, (2) that no provisions of the underlying encumbrances and obligations affecting the PROPERTY conflicts with any provision(s) of this Agreement so as to frustrate or defeat the purpose thereof and (3) no default does or will exist in any encumbrance relevant to the PROPERTY. (4) SELLER has good and valid title to the property and the right to convey ownership in said property.

(d) SELLER also warrants that on the CLOSING date, all bills and invoices for labor or material furnished to or on behalf of the PROPERTY prior to the time of conveyance and transfer to BUYER, if any, will be paid.

7) CLOSING DATA/PRORATION

(a) All rents, taxes, all insurance premiums (which BUYER desires to remain effective), interest, annual principal installments of any assessments, and applicable utility charges, if any, shall be pro-rated as of the date of CLOSING. All deposits, including non-refundable deposits will be credited to the BUYER. SELLER understands the BUYER is purchasing this asset as part of a tax differed exchange. SELLER agrees that all cost to close the transaction, up to $50,000, shall be paid by SELLER at closing.

_____BI _____SI

8) **DISCLOSURE**

All parties are aware that some of the officers of NCH Corporation are licensed to sell real estate in the State of Arizona.

9) **COMMISSION**

All Commissions shall be paid by separate agreement.

10) **SPECIFIC PERFORMANCE**

In the event of default in performance by SELLER, BUYER shall be entitled to specific performance of this Agreement and/or such other remedies as provided by law. In the event of default in performance by BUYER, SELLER'S sole recourse and remedy shall be cancellation of this Agreement and forfeiture of BUYER'S EARNEST MONEY as liquidated damages.

11) **ENFORCEMENT**

If either party finds it necessary to have legal counsel engage in enforcing or if any action is brought to enforce this Agreement or any provision thereof to rescind the same, to collect damages for an alleged breach thereof or for a declaratory judgment thereunder, the prevailing party in such action shall be entitled to reasonable legal fees in addition to costs and expenses of enforcement and/or suit. This Agreement shall be governed by the laws of the State of Arizona.

12) **OTHER AGREEMENTS**

SELLER shall not enter into any contracts, leases below the current market rates or over 12 months, agreements or amendments to existing agreements or encumbrances affecting the PROPERTY while this Agreement remains in force or subsequent to CLOSING of this transaction without the express written approval of BUYER. BUYER shall not enter into any agreements which would threaten the security of (or decrease in any way) SELLER'S remaining right, title and interest in and to the PROPERTY prior to payment of the full PURCHASE PRICE therefor.

13) **NOTICES**

All notices, elections, demands or other statements this Agreement requires or permits either party to give to the other shall be in writing and shall be personally delivered, deposited in a regularly maintained receptacle of the United States Mail in a sealed wrapper with first class and certified or

BI SI

registered postage applied, prepaid, return receipt requested, or be transmitted by telefax. In both latter instances notices are to be addressed to the respective parties as follows:

SELLER:	**El Dorado of TUC, LLC** Mr. Randal G. Dix, TTEE 2850 E. Skyline Tucson, Arizona 85704 Tel (520) 544-4000 Fax (520) 544-4005 Email: rdix@transwest.us
BUYER:	**FDJ HESPERIA, LLC** Mr. Robert L. Burton 5331 North Sundown Tucson, Arizona 85718 Tel (520) 299-3990 Email: swenburt@aol.com
ESCROW AGENT:	Ms. Rebecca Sauers TITLE SECURITY AGENCY, LLC. One South Church, Suite 2040 Tucson, AZ 85701 Tel (520) 495-1329 Fax (520) 901-1217 Email: Rebecca.sauers@titlesecurity.com

Either party or any other person entitled to notice hereunder may from time to time designate to the others, in writing and given in accordance with this paragraph, a different address for service of notice. If mailed, all such notices, elections, demands or other writings shall be deemed served upon receipt. Notice by telegram shall be deemed served upon delivery thereof to the addressee as confirmed by the telegraphic agency to the sender.

14) FOREIGN INVESTMENT

SELLER warrants that he (it) is not a foreign person within the meaning of the Foreign Investment in Real Property Act (FIRPTA) and Section 1445 of the Internal Revenue Code.

15) TAX BENEFIT

If either party will be able to secure a tax benefit by the re-wording of this Agreement or any of the terms hereof or be able to combine this transaction with any other transfer of PROPERTY so

_____BI _____SI

as to effect a third-party exchange for tax purposes, the other party agrees to such change, provided (1) that such other party is not adversely affected thereby in any manner and is held harmless from same, (2) that written notice of such change is given to the other party at least ten (10) business days prior to the date set for CLOSING and (3) that in the event of a third party exchange, such exchange does not necessitate the postponement of the CLOSING to a later date. The party requesting such change will be responsible for the reasonable legal fees incurred by the other party to review the documentation necessary to effect the change.

16) INTEGRATION/SURVIVAL

(a) All inducements, covenants, promises and warranties have been reduced to writing herein. This Agreement constitutes the entire Agreement between the parties. Further, neither BUYER nor SELLER is acting on any legal, economic, financial, value or tax advice from the broker(s). All parties hereto acknowledge receiving a copy of this Agreement with all signatures thereon and initials affixed.

(b) Agreement Survives Closing. That all representations, warranties, covenants and agreements of the parties contained in this Agreement shall survive the closing of this transaction and this Agreement contains all of the representations of the parties relied upon in the sale and purchase of the Premises.

17) TIME

Time is of the essence with regard to the performance by the parties of their respective obligations under this Agreement.

18) ACCEPTANCE

This offer is irrevocable until 5:00 o'clock p.m., Mountain Standard Time on the 15th day of December 2016, at which time, if a fully-executed copy hereof has not been delivered to BUYER, this offer is revoked and shall be deemed null and void and BUYER'S EARNEST MONEY shall be returned to BUYER forthwith. Delivery to BUYER of a copy of this Agreement, fully executed by SELLER, on or before the above date and time, constitutes ACCEPTANCE hereof and there upon; this offer shall become a legally binding Agreement upon all parties hereto.

19) LEASES

Assignment of Leases and Contracts. SELLER shall assign to BUYER at closing all existing leases, rental agreements and service contracts. All deposits shall be credited to the BUYER at close

_____BI _____SI

of escrow.

20) PLANS

At CLOSING, SELLER will deliver to PURCHASE any copies in SELLER'S possession or control of the specifications relating to the construction of the improvements on the PROPERTY. SELLER will assign and transfer to BUYER all of SELLER'S rights under any guarantees and warranties relating to the construction of the improvements or the purchase of the fixtures and/or equipment.

21) SERVICE AGREEMENTS

In the event SELLER has any service or maintenance agreements in effect which relate to the PROPERTY, copies thereof shall be delivered to BUYER within 10 business days from opening of escrow and prior to CLOSING, BUYER shall advise SELLER whether SELLER should cancel such agreements as of the CLOSING date or whether they should be transferred to BUYER at CLOSING, subject to their being assignable.

22) INVENTORY

As soon as reasonably possible after ACCEPTANCE and prior to CLOSING, at a mutually convenient time, SELLER will make an inventory of the said Personal Property used in connection with the management and operation of the PROPERTY, of which such items are to be included in this sale. SELLER shall maintain the same or equivalent inventory until CLOSING and at CLOSING, certify that the inventory list is accurate and complete.

23) MAINTENANCE

SELLER will prudently manage, maintain and deliver the PROPERTY at CLOSING in substantially the same condition and repair as of the date of ACCEPTANCE, normal wear and tear excepted. In the event of casualty occurring prior to CLOSING, SELLER will restore the PROPERTY with all due diligence and the CLOSING date shall be extended to allow for restoration; except that, SELLER may cancel this Agreement if the first lien holder requires application of insurance proceeds to the first lien indebtedness by giving written notice to BUYER within ten (10) business days after the casualty occurs.

Risk of Loss. Risk of loss by damage or destruction to all or a substantial part of The Premises prior to closing shall be born by the SELLER. A substantial part of the Premises shall mean any part of the Premises in excess of 5% of the net rentable area of the Premises. In the event

_____BI _____SI

of such damage or destruction, the BUYER at its option may void this transaction, or elect to consummate this transaction. If the BUYER elects to void this transaction, all monies paid to the SELLER as earnest money or otherwise shall be returned to the BUYER. If the BUYER elects to consummate this transaction, the SELLER's right to all insurance proceeds resulting from such damage or destruction shall be assigned by the SELLER to the BUYER. In the event of any lesser damages, this Agreement shall assign to the BUYER all of its right, title and interest to the proceeds of any insurance payments resulting from such damage or destruction.

24) UTILITIES

BUYER and SELLER agree to cooperate with each other and all local utility suppliers to endeavor to change over into BUYER'S name the utilities applicable to SELLER/OWNER on the date set for CLOSING and agree to pro-rate such utility charges as are appropriate.

25) NO ADVERSE FACTORS

SELLER is not aware of any pending or anticipated factors which would adversely affect the PROPERTY, its use or income other than any set forth herein.

26) WARRANTIES

A. SELLER makes the following representations and warranties:

(i) All personal property used in the operation of the Property shall be in reasonably proper working order as of closing.

(ii) To the best of SELLER's knowledge no actions, suits, litigations or proceedings have been instituted or threatened against the Premises.

(iii) To SELLER's best knowledge, there are no liens, encumbrances or claims against the Premises being purchased hereunder of SELLER`s ownership thereof other than those liens and encumbrances and/or claims of record set forth in the Preliminary Title Report referred to above, or as expressly disclosed herein.

(iv) All personal property being transferred to BUYER hereunder shall be transferred free and clear of any claims, liens and encumbrances and SELLER has the full right to so convey all personal property except to the extent of the recorded UCC Financing Statements and other underlying encumbrances reflected on the Preliminary Title Report.

_____BI _____SI

(v) To SELLER's best knowledge there are no pending or contemplated condemnation actions or special assessments against the Premises or any part thereof.

(vi) The records to be made available by SELLER to BUYER as provided above shall be full and complete records and represent all financial operations and records with respect to the subject property and operation thereof, and shall be full and complete as of the date thereof. If BUYER requests additional information regarding the property which is reasonably available to SELLER, the SELLER shall provide it; there does not exist to SELLER's knowledge any event or condition, whether or not arising after the date of said records, which now make any of the information contained in such books and records misleading or inaccurate with respect to the operation of the Premises.

(vii) SELLER shall maintain the Premises purchased hereunder in good condition and state of repair through the date of close of escrow and SELLER shall further perform all of its obligations under all leases, service contracts, underlying encumbrances and any other agreement affecting the Premises being purchased hereunder through the date of closing of escrow.

(viii) SELLER shall keep the Premises adequately insured until closing.

(ix) To the best of SELLER's knowledge there are presently no laws, statutes, ordinances or building or use restrictions applicable to the Premises which he is in violation of or which might prohibit the uses presently being made thereof.

(x) No tenants of the Premises are entitled to any rebates, allowances or free rent for any period after the close of escrow, except as may be set forth in the Supercuts Inc. Lease document.

(xi) SELLER warrants that they have good and valid title to the property and the right to convey it.

(xii) SELLER warrants that there are no termites and will deliver a certificate stating so at closing.

B. BUYER makes the following representations and warranties:

(i) BUYER has duly and validly authorized and executed this Agreement and BUYER has full power to enter into and perform this Agreement and neither the execution of this Agreement nor its performance hereunder are restricted by or in violation of any contractual or other obligation of BUYER.

(ii) BUYER acknowledges that he has entered into this transaction based on his right to make a thorough inspection of the Premises and the operating records and the

_____BI _____SI

representations and warranties set forth herein, but not upon any representations or warranties not set forth expressly herein. BUYER agrees that all statements previously or hereafter made by any real estate broker or agent shall not be binding upon the SELLER and BUYER shall have no right to rely on any such statements.

27) **AUTHORITY TO SIGN**

SELLER shall deliver to BUYER at CLOSING satisfactory proof, duly notarized or recorded where applicable, that those whose signatures appear hereon in behalf of SELLER possess the authority to bind SELLER and to effect a transfer of title by Warranty Deed to BUYER.

28) **BINDING EFFECT**

This Agreement when Accepted will be binding upon the parties hereto, their heirs, successors, personal representatives and assigns.

IN WITNESS WHEREOF, the parties have executed this Agreement, the day and year above written.

SELLER:
El Dorado of TUC, LLC

_____ 12.15.16
By: Mr. Randal G. Dix, TTEE DATE

BUYER:
FDJ HESPERIA, LLC

_____ 12.15.16
By: Mr. Robert L. Burton DATE

_____BI _____SI

El Dorado Apartments
2440 E. Glenn
Tucson, AZ 85719

Legal Description

Lots 1 and 2, of GLENN EAST ESTATES, according to the plat of record in the office of the County Recorder of Pima County, Arizona, recorded in Book 18 or Maps, Page 78.